

# Rightmove plc (LSE: RMV)

## Investment Analysis and DCF Valuation

### Independent Investment Research Project

Methodology: Five years of Rightmove annual-report financial and operating data were manually collected and analysed using Python. The analysis includes historical KPI decomposition, financial forecasting, DCF valuation, sensitivity analysis, scenario analysis and reverse DCF.

|                               |                       |
|-------------------------------|-----------------------|
| <b>Reference Share Price</b>  | £4.99                 |
| <b>Base-Case DCF</b>          | £6.40                 |
| <b>Consensus-Adjusted DCF</b> | £6.37                 |
| <b>Implied Upside</b>         | 27.6%                 |
| <b>Bear / Base / Bull</b>     | £4.25 / £6.40 / £8.87 |

### Investment View

Rightmove combines high operating margins, strong cash generation and a leading position in the UK online property market. Historical analysis suggests that the company's recent growth has been driven primarily by increasing monetisation of its advertiser base rather than significant expansion in the number of Agency branches.

Between 2021 and 2025, revenue grew at a compound annual growth rate (CAGR) of approximately 8.7%. Over the same period, Agency average revenue per advertiser (ARPA) grew at approximately 7.3% annually, while Agency branches increased at only approximately 0.4% annually.

This divergence is central to the investment thesis. It suggests that Rightmove has historically been able to increase revenue through pricing, premium packages and additional products without requiring substantial growth in its core Agency customer base.

My consensus-adjusted discounted cash flow (DCF) valuation produces an estimated value of £6.37 per share, approximately 27.6% above the £4.99 reference market price used in the analysis.

However, this potential upside is highly sensitive to the durability of Rightmove's margins, its required rate of return and its ability to maintain monetisation as competition and technological disruption increase.

### Historical Performance

|                       | 2021  | 2022  | 2023  | 2024  | 2025  |
|-----------------------|-------|-------|-------|-------|-------|
| Revenue (£m)          | 304.9 | 332.6 | 364.3 | 389.9 | 425.1 |
| Operating Profit (£m) | 226.1 | 241.3 | 258.0 | 256.3 | 287.9 |
| Operating Margin (%)  | 74.2  | 72.6  | 70.8  | 65.7  | 67.7  |
| Free Cash Flow (£m)   | 194.3 | 195.2 | 203.4 | 202.2 | 226.1 |
| FCF Margin (%)        | 63.7  | 58.7  | 55.8  | 51.9  | 53.2  |

Table 1: Historical financial performance, 2021–2025

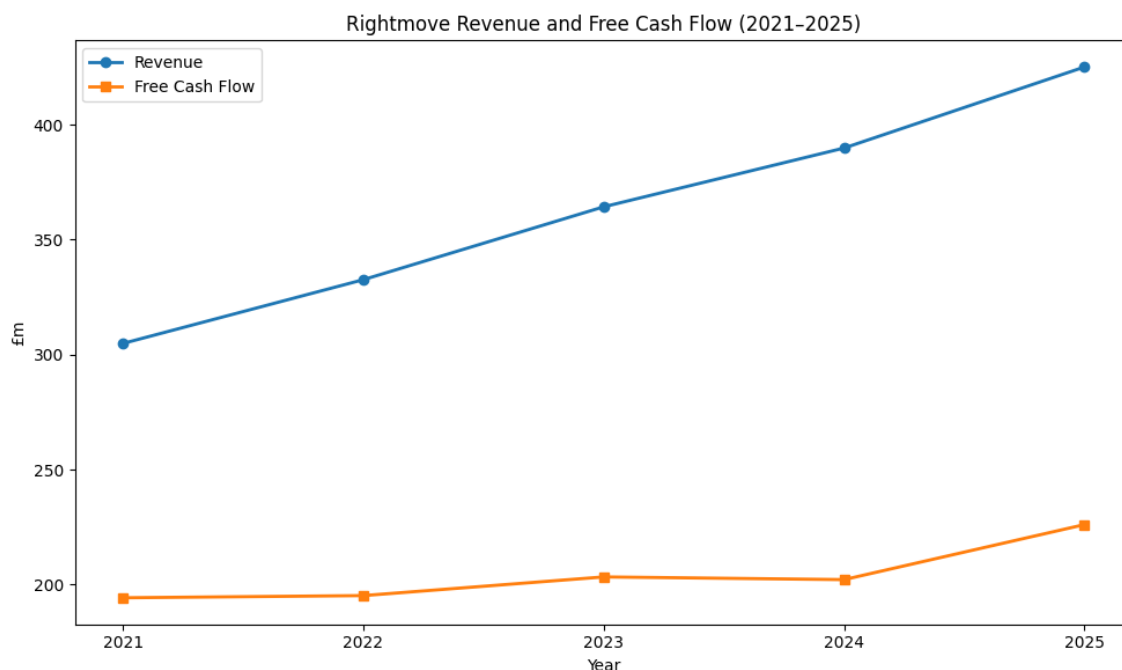


Figure 1: Rightmove Revenue and Free Cash Flow, 2021–2025

Revenue increased from approximately £304.9m in 2021 to £425.1m in 2025, representing an 8.7% CAGR.

Operating margins declined from approximately 74% to 68% over the period. Nevertheless, Rightmove continued to produce substantial free cash flow. Estimated free cash flow increased from £194.3m in 2021 to £226.1m in 2025.

Free cash flow conversion relative to profit after tax remained close to, or above, 100% throughout the historical period analysed.

### Key Operating Driver: Monetisation

The historical operating data indicates that Rightmove's growth has depended considerably more on monetisation than customer expansion.

| Metric          | 2021–2025 CAGR |
|-----------------|----------------|
| Revenue         | 8.67%          |
| Agency ARPA     | 7.28%          |
| Agency Branches | 0.42%          |

Table 2: Selected historical growth rates

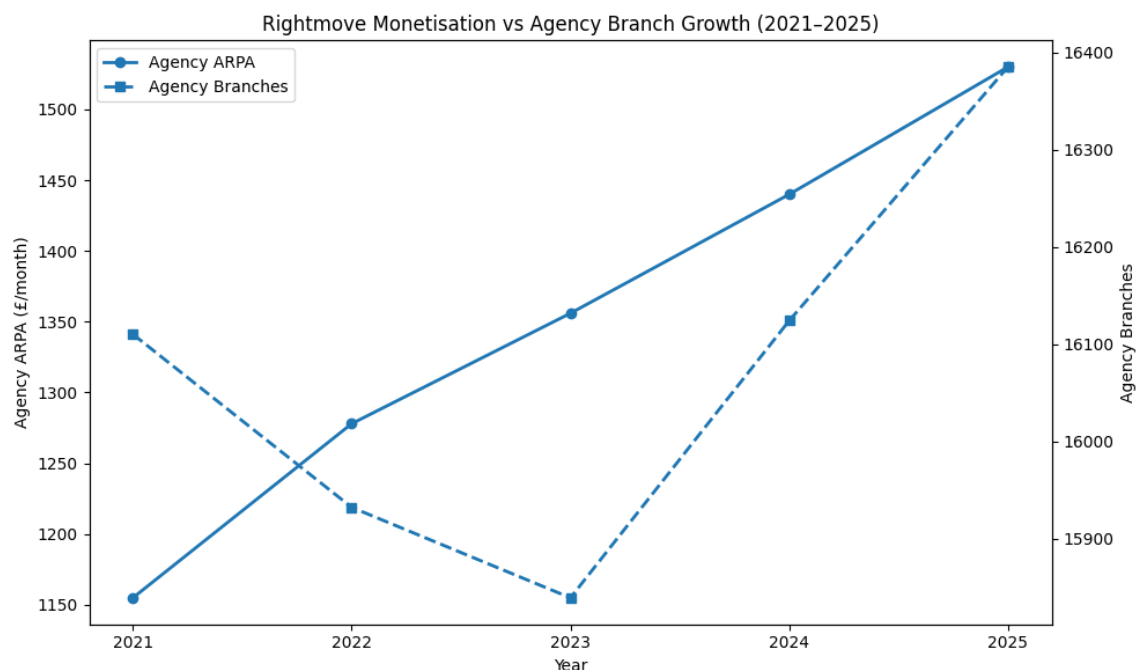


Figure 2: Rightmove Agency ARPA versus Agency Branches, 2021–2025

Agency ARPA increased substantially while Agency branch numbers were broadly flat across the period. This suggests that Rightmove’s ability to sell higher-value packages, increase advertiser spend and introduce incremental products has been a more important driver of revenue growth than customer acquisition.

This creates both an opportunity and a risk. Continued monetisation could allow revenue to grow without requiring rapid expansion of the UK estate agency market. Conversely, if advertisers become less willing to accept higher spend, future growth could slow materially.

## Forecast

The initial base case assumes revenue growth of 7.5% annually from 2026 to 2028, followed by 6.0% in 2029 and 2030.

|                       | 2026E | 2027E | 2028E | 2029E | 2030E |
|-----------------------|-------|-------|-------|-------|-------|
| Revenue (£m)          | 457.0 | 491.3 | 528.1 | 559.8 | 593.4 |
| Revenue Growth (%)    | 7.5   | 7.5   | 7.5   | 6.0   | 6.0   |
| Operating Margin (%)  | 67.0  | 67.0  | 67.5  | 68.0  | 68.0  |
| Operating Profit (£m) | 306.2 | 329.2 | 356.5 | 380.7 | 403.5 |
| UFCF (£m)             | 227.2 | 244.2 | 264.5 | 282.6 | 299.5 |

Table 3: Initial base-case forecast

The model assumes a 25% tax rate, depreciation and amortisation equivalent to 2.0% of revenue, capital expenditure equivalent to 2.5% of revenue, and changes in net working capital equivalent to 0.5% of incremental revenue.

## DCF Valuation

Unlevered free cash flow is calculated as:

$$UFCF = NOPAT + D\&A - CapEx - \Delta NWC$$

The initial DCF uses an 8.0% weighted average cost of capital (WACC) and a 2.5% perpetual growth rate.

The terminal value is estimated using the Gordon Growth Method:

$$TV = \frac{UFCF_{2030}(1+g)}{WACC - g}$$

The resulting valuation is:

| Component                 | Value (£m) |
|---------------------------|------------|
| PV of Forecast Cash Flows | 1,041.3    |
| PV of Terminal Value      | 3,798.8    |
| Enterprise Value          | 4,840.1    |
| Cash-Like Assets          | 42.9       |
| Equity Value              | 4,883.0    |

Table 4: Base-case DCF valuation

Using approximately 762.5 million shares outstanding produces an initial base-case implied value of approximately:

£6.40 per share

## Consensus-Adjusted Case

To test whether the valuation result depended on optimistic operating assumptions, I constructed an additional scenario using revenue growth and operating margin assumptions broadly aligned with current sell-side expectations.

The adjusted revenue growth assumptions are 7.0%, 8.2% and 8.5% for 2026–2028, followed by 6.0% in 2029 and 2030. Operating margins are assumed to move from 67.0% in 2026 to 65.5% in 2028 before recovering gradually to 67.0% in 2030.

Under these assumptions, the DCF produces:

£6.37 per share

This represents approximately:

27.6% potential upside

relative to the £4.99 reference price.

The small difference between the initial £6.40 base case and the £6.37 consensus-adjusted case suggests that the valuation result is not primarily dependent on above-consensus near-term revenue growth.

## Scenario Analysis

| Scenario | Implied Price | Return vs. £4.99 |
|----------|---------------|------------------|
| Bear     | £4.25         | -14.8%           |
| Base     | £6.40         | +28.3%           |
| Bull     | £8.87         | +77.7%           |

Table 5: DCF scenario analysis

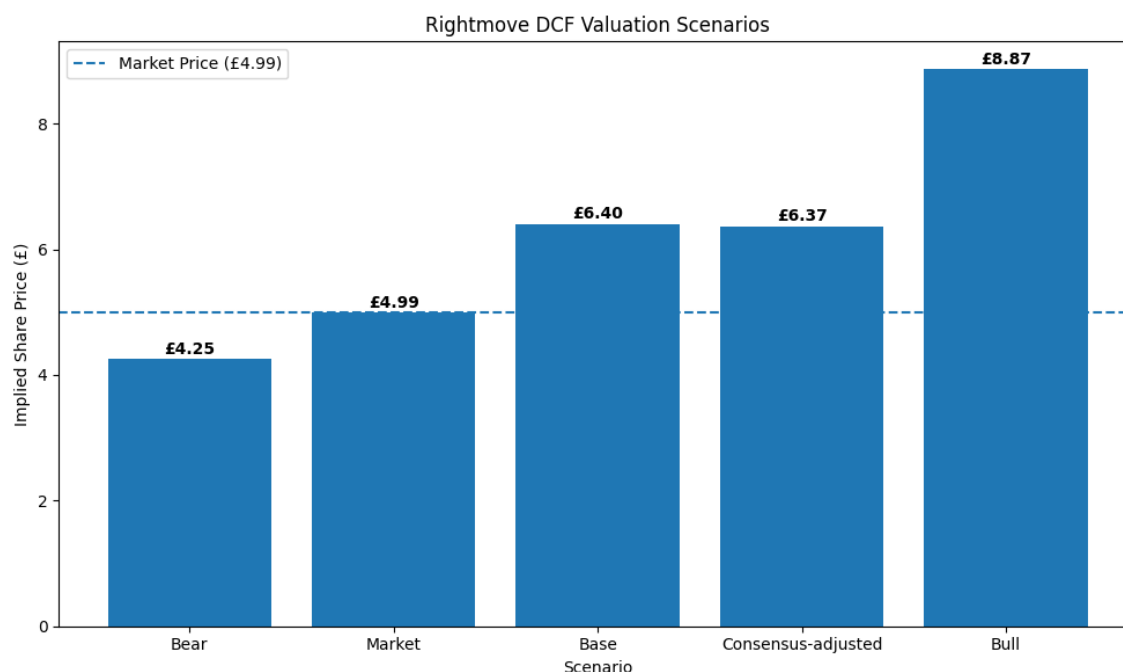


Figure 3: Rightmove DCF Valuation Scenarios

The scenario analysis demonstrates substantial valuation dispersion. The bear case produces downside to approximately £4.25, while the base and bull scenarios imply materially higher values.

The breadth of the valuation range reinforces the importance of long-term assumptions rather than suggesting that the DCF represents a precise price target.

## Sensitivity Analysis

The DCF is particularly sensitive to the WACC and perpetual growth assumptions.

| Terminal Growth | WACC  |       |       |       |       |
|-----------------|-------|-------|-------|-------|-------|
|                 | 7.0%  | 7.5%  | 8.0%  | 8.5%  | 9.0%  |
| 1.5%            | £6.63 | £6.07 | £5.60 | £5.19 | £4.84 |
| 2.0%            | £7.17 | £6.51 | £5.97 | £5.50 | £5.10 |
| 2.5%            | £7.84 | £7.05 | £6.40 | £5.87 | £5.41 |
| 3.0%            | £8.67 | £7.70 | £6.93 | £6.30 | £5.77 |
| 3.5%            | £9.74 | £8.52 | £7.57 | £6.81 | £6.19 |

Table 6: Implied share price sensitivity

For example, increasing the WACC to 9.0% while reducing terminal growth to 2.0% produces a valuation

of approximately £5.10 per share, close to the reference market price.

This is an important limitation of the bullish interpretation of the DCF. A higher required return can explain much of the apparent valuation gap without requiring a collapse in Rightmove's operating performance.

## Reverse DCF

A reverse DCF was also used to examine the expectations embedded in the £4.99 reference share price. Holding the remaining base-case assumptions constant, the model requires annual revenue growth of approximately:

$$1.15\%$$

from 2026 to 2030 to reproduce a £4.99 valuation.

This should **not** be interpreted as the market's literal revenue forecast.

Instead, the calculation demonstrates that within this specific DCF framework, a substantially weaker growth assumption is required to reconcile the model with the reference market price. The difference could alternatively reflect a higher required return, weaker long-run margins, a lower terminal growth assumption, or a larger risk premium for competitive and technological disruption.

## Key Risks

**Competition.** Rightmove's monetisation power ultimately depends on maintaining a strong consumer audience and providing sufficient value to advertisers. Greater competition from existing portals or new entrants could reduce advertiser willingness to accept continued ARPA increases.

**AI and changing property discovery.** AI-enabled search could change how consumers discover properties and potentially weaken the importance of traditional portal interfaces. The long-term risk is therefore not simply the adoption of AI itself, but whether another interface gains control of the consumer relationship.

**ARPA durability.** Historical growth has depended substantially on monetisation. This creates concentration around a key assumption: advertisers must continue to perceive sufficient incremental value from higher-priced packages and additional products.

**Margin pressure.** Higher technology, product and growth investment could mean that historically high operating margins do not fully recover. A structurally higher cost base would reduce the value of future cash flows.

**UK housing-market exposure.** A prolonged weak housing environment could reduce Agency branches, New Homes developments and advertiser budgets. The New Homes segment is particularly exposed to development activity.

**Valuation risk.** A significant proportion of DCF enterprise value is generated by the terminal value. Consequently, relatively small changes in WACC, terminal growth or long-term margins can materially alter the implied share price.

## Conclusion

The analysis suggests that Rightmove possesses attractive economic characteristics: high margins, strong cash generation and a historical ability to grow revenue substantially faster than its core Agency customer base.

The key historical finding is that monetisation, particularly ARPA growth, has been considerably more important than Agency branch expansion. This supports the argument that Rightmove has historically possessed meaningful pricing and product-monetisation power.

A consensus-adjusted DCF produces an estimated value of £6.37 per share versus the £4.99 reference price, suggesting potential upside without requiring materially above-consensus near-term revenue growth.

However, the investment case is not simply a question of near-term growth. The principal uncertainty is whether Rightmove can maintain its consumer network effect and advertiser monetisation while absorbing higher technology investment and responding to competition and AI-led changes in property discovery.

I would therefore characterise the result as a **constructive / potentially undervalued investment thesis** rather than an unconditional buy recommendation. Evidence of weakening ARPA growth, advertiser retention, consumer engagement or structurally lower margins would materially weaken the thesis.

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**Note:** This report is an independent educational project and does not constitute investment advice. Historical financial and operating data were collected from Rightmove plc annual reports. Forecasts and valuation assumptions are the author's own unless otherwise stated.